

TERMSHEET

This Term Sheet ("**Term Sheet**") executed on summarises the principal terms and conditions for the proposed investment ("**Proposed Transaction**") in ("**Company**") by ("**Investor**") and is executed by and between the Parties. This Term Sheet is an expression of interest only and shall not be construed as creating any legal relationship or as a binding agreement between the Parties. The terms and conditions set out herein are subject to and conditional upon the execution of definitive agreements (as defined below).

1.0	TRANSACTION DETAILS	
1.1	Company	Company Name
1.2	Business	Brief description of company's business activities
1.3	Founders / Directors	Founder / Director Names (as per MCA master data)
1.4	Current Capital Structure	The current paid-up and issued share capital of the Company comprises: • _____ Equity Shares of INR ____ each (face value) or • _____ Preference Shares of INR ____ each (face value) The shareholding pattern of the Company as on the Effective Date is set forth in Schedule 1.

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1.5	Instruments	Equity / Convertible Note / Preference Shares
1.6	Investor	_____ residing at _____
1.7	Proposed Transaction	Subject to compliance with applicable laws and regulations and the terms set out herein, the Investor proposes to invest an aggregate sum of INR____(Rupees only) in the Company, by way of subscription to [Equity Shares / Preference Shares / Convertible Notes/CCD] issued by the Company. The investment shall be disbursed in the following tranches: • Tranche I: INR ____ (Rupees only) • Tranche II: INR ____ (Rupees only) <i>(Add more tranches if required or keep single lump sum if no split is planned.)</i>
1.8	Valuation Cap for Conversion	• If the investment is structured as Convertible Notes / CCPS/CCDs, the conversion into equity shares shall be subject to:

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		• A maximum valuation cap of INR ____ (Rupees only); and • The terms set out in the definitive agreement. <i>If the investment is structured as direct equity or preference shares, this clause shall not apply.</i>
1.9	Conversion / Repayment Terms	• Conversion Events: The investment shall convert into equity shares of the Company (where applicable) upon the occurrence of any of the following events: a) Qualified Financing: An equity financing round of at least INR ____. b) Liquidity Event: Merger, acquisition, or sale of substantially all assets. c) Maturity Date: ____ months/years from the date of issuance. • Conversion Price: The price per share shall be determined based on the pre-money valuation of the Company at the time of conversion, subject to the Valuation Cap set out in Clause 1.8. • Repayment (if not converted): If conversion does not occur by the

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		Maturity Date, the Investor shall be entitled to repayment of the outstanding principal together with accrued interest at the rate of ___% per annum, in accordance with the terms of the definitive agreement.
1.10	Coupon Rate (if applicable)	The investment shall carry interest at the rate of ___% per annum, calculated on the outstanding principal amount, payable upon conversion or repayment of the instrument, in accordance with the terms of the definitive agreement.

2.0	KEY CONSIDERATIONS	
2.1	Pre-emptive Rights	The Investor shall have the right, on a pro-rata basis, to participate in any future issuance of equity shares or equity-linked securities by the Company to any third party, for the purpose of maintaining its shareholding on a fully diluted basis, on such

		terms and conditions (including price) as may be determined by the Company, subject to applicable law.
2.2	Tag-Along Right	In the event that any existing shareholder of the Company proposes to transfer all or part of its equity shares to any third party, the Investor shall have the right, on a pro-rata basis, to participate in such transfer and sell its equity shares to the proposed transferee, on the same terms and conditions (including price) as offered to the transferring shareholder, subject to applicable law.
2.3	Voting Rights	The Investor shall be entitled to such voting rights in respect of the equity shares held by it in the Company, as are

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		provided under applicable law and the constitutional documents of the Company, and on the same basis as other shareholders holding similar class of shares.
2.4	Liquidation Preference	In the event of a liquidation, dissolution, winding-up, or sale of the Company, the Investor shall be entitled to receive, prior to any distribution to the Promoters or other shareholders, an amount equal to the Investment Amount together with any declared but unpaid dividends, or the amount that the Investor would have received if its shares were converted into equity on a fully diluted basis, whichever is higher, subject to applicable law. Any remaining proceeds, after payment of the above, shall be distributed

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		among the Promoters and other shareholders in proportion to their shareholding in the Company.
2.5	Information Rights	The Investors shall receive from the Company (i) Annual (audited) financial statements within 60 (sixty)] calendar days following the closure of the preceding financial year,

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3.0	DOCUMENTATION AND INCIDENTAL MATTERS	
3.1	Definitive Agreement	The Parties agree that the Proposed Transaction shall be consummated upon the execution of definitive agreements, including but not limited to: • Subscription Agreement / Shareholders' Agreement

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		/ Investment Agreement (depending on the instrument) Any other document mutually agreed upon between the Parties to give effect to the Proposed Transaction (Collectively referred to as the "Definitive Agreements").
3.2	Conditions Precedent to Transaction	(a) Obtaining all necessary corporate, statutory, regulatory and contractual approvals, consents or permissions required in connection with the issuance of the securities by the Company and, where applicable, the conversion thereof into equity shares of the Company in accordance with the definitive agreements. (b) Execution of the definitive agreements and

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		such other ancillary agreements as may be mutually agreed between the Parties, in each case in form and substance reasonably acceptable to both Parties, and consistent with the terms set out in this Term Sheet. (c) Amendment, if required, of the Company's articles of association and any existing shareholders' agreement, solely to the extent necessary to permit the issuance of the securities and to give effect to the conversion and/or repayment mechanics contemplated under the definitive agreements. (d) Satisfaction of such other conditions precedent as may be mutually agreed in writing between the
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		Company and the Investor and expressly set out in the definitive agreements.
3.3	Representations and Warranties	The Company represents and warrants to the Investor that the Proposed Transaction: (a) is in accordance with applicable law, including but not limited to Indian foreign exchange regulations; and (b) shall not result in the Company violating any terms in respect of existing corporate or statutory approvals.
3.4	Events of Default	The Definitive Agreement will set out customary events of default and consequences. The events of default shall include breach of any provisions of the

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		Definitive Documentation by a party.
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4.0	GENERAL	
4.1	Expenses	All basic transactional expenses (consultancy/advisory fees, due diligence, stamp duty, statutory charges) shall be borne by the Company. Any additional expenses specifically initiated by the Investor shall be borne by the Investor.
4.2	Regulatory Compliance	The Company shall ensure compliance with all applicable laws and regulations in India, including FEMA, RBI guidelines, and the Companies Act. The Company shall undertake all necessary filings (Form CN, Form FC-GPR, SMF filings, etc.) and obtain required approvals/consents. Copies of acknowledgements/approvals

		shall be shared with the Investor.
4.3	Confidentiality	Both Parties shall maintain confidentiality of all information relating to this Term Sheet and the Proposed Transaction. Disclosure shall be permitted only where required by law or to representatives on a strict need-to-know basis.
4.4	Exclusivity	Following execution of this Term Sheet, the Company and Founders shall not engage in discussions or negotiations with third parties for financing without prior disclosure and explicit consent of the Investor.
4.5	Termination	This Term Sheet shall terminate upon the earliest of: • Execution of definitive agreements by all Parties • Mutual written agreement of the Parties • Expiry of ___days from execution (unless extended in writing by mutual consent) Clauses relating to

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		confidentiality, exclusivity, governing law, and jurisdiction shall survive termination.
4.6	Amendment	The parties may amend the terms of this Term Sheet by mutual consent in writing.
4.7	Governing Law and Jurisdiction	This Term Sheet shall be governed by the laws of India. Any disputes arising out of or in connection with the validity, interpretation or implementation of this Term Sheet or the Definitive Documentation shall be subject to the exclusive jurisdiction of the courts of (Insert location) Notwithstanding the foregoing, the Parties may choose to resolve any such disputes through arbitration, in accordance with the Arbitration and Conciliation Act, 1996, as amended from

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		time to time. The seat and venue of arbitration shall be (Insert Location) or such other mutually agreed jurisdiction, and the arbitration proceedings shall be conducted in English.
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Schedule 1

Shareholding Pattern (Pre-Transaction)

Name	No of Shares	Percentage of Shareholding
Founder 1 Name	(Enter)	(Enter %)
Founder 2 Name	(Enter)	(Enter %)
Total	[Total Shares]	100%

If the foregoing accurately describes the basis on which the undersigned are willing to proceed with regard to a transaction, please indicate your approval by signing the copy of this term sheet.

For Company Name

Name: [Founder / Director Name]

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Designation: Founder/Director

For **[Investor Name]**

By: _____

Name: [Investor Name]

Designation: Investor



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